

Increasing Average Order Value at Zepto

Strategic product initiatives to drive basket expansion and boost revenue



User Segmentation Analysis

Five distinct user types identified based on basket size, frequency, and purchasing behaviour

User 1

5–6 items, Daily, Low discount sensitivity, High urgency, Low diversity

User 2

4–5 items, 2–3×/week, Low sensitivity, Medium urgency, Medium diversity

User 3

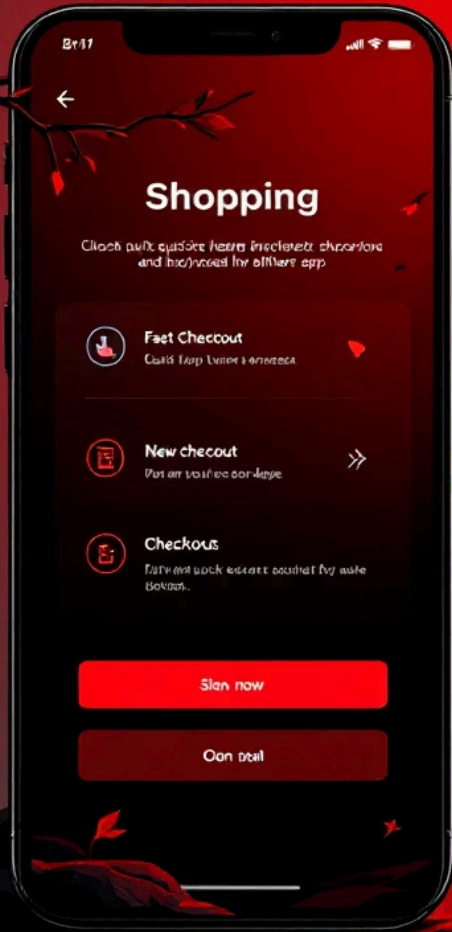
4–5 items, 3–4×/week, High sensitivity, High urgency, Medium diversity

User 4

4–5 items, 3–4×/week, Low sensitivity, High urgency, High diversity

User 5

5 items, 2–3×/week, High sensitivity, Low urgency, High diversity



Key Behaviour Patterns

Urgency-Driven

Quick checkout, spends <10 minutes on app, orders when essentials run out

Exploratory

Relies on search, habitual buying, limited cross-category discovery

Experimental

Age 15–25, likes discovering new products, random scrolling leads to purchases

Current AOV Impact

Low AOV

Stops at free delivery threshold, buys only essentials

Medium AOV

Some discovery but limited cross-category purchase

High AOV

Convenience and habitual purchases, high experimentation

Key Blockers to AOV Growth

- 1 Free delivery threshold acts as cart value ceiling**
- 2 Urgency-driven purchasing behaviour**
- 3 Low product discovery**
- 4 Habitual buying patterns**
- 5 Platform does not actively encourage bulk purchasing**



Problem Statement

Users primarily use Zepto for urgent, search-driven purchases and stop adding items once the free delivery threshold is reached, limiting basket expansion and reducing AOV.

User perception of Zepto as a **quick convenience platform rather than a bulk purchase platform** further restricts basket growth.

Root Cause Analysis



Urgency-Driven

Shopping behaviour



Lack of Discovery

Personalized recommendations



Habitual Patterns

Ordering cycles



No Incentives

For bulk purchases

Proposed Solutions



Bundle Purchases + Tier Rewards

Encourage complementary products with tier-based rewards: ₹299 (Free Delivery), ₹399 (5% Cashback), ₹499 (Free Snack)



Smart Personalized Recommendations

AI-driven suggestions based on purchase history, browsing behaviour, and similar user patterns across all touchpoints



Smart Refill & Scheduled Essentials

Single point system with refill reminders, scheduled orders, and pre-filled essential baskets

RICE Prioritization

Idea	Reach	Impact	Confidence	Effort	RICE Score
Bundle Purchases + Tier Rewards	8	3	0.8	2	9.6
Smart Personalized Recommendations	6	2	0.7	3	2.8

Priority: Bundle Purchases (1) → Personalized Recommendations (2)

Expected Outcomes



Increase items per cart



Improve product discovery



Shift platform perception from quick purchase to bulk convenience



Boost Average Order Value (AOV)

